



**RAJU SHARES A STAGE WITH CHIEF MINISTER YSR REDDY AND FORMER PRESIDENT APJ ABDUL KALAM**

cies. From his scam to his confession to the post-arrest strategy, Raju has clearly scripted his moves.

The scam is not an accident of circumstance as Raju would have wanted his board to believe. It is the result of strategic thinking, and emerging facts are evidence of a well-crafted plan. The Davos regular, seen as a softspoken, articulate icon of the software sector, cultivated an image of simplicity amid success that delivered the perfect branding of trust and credibility. When former Andhra Pradesh chief minister N. Chandrababu Naidu wooed him, he saw an opportunity to project himself. His board had the crème de la crème of independent directors ranging from former cabinet secretary T.R. Prasad to Harvard professor Krishna Palepu, guru Vinod Dham and Ram Mohan Rao who was the dean of the International School of Business. He chose an international auditor and got himself listed on the NYSE. Such was the brand power that not even his peers, his competitors, suspected a fiddle till he spilled the beans.

Being seen in the company of Microsoft founder Bill Gates and President Bill Clinton clearly added to his aura. When Y.S. Rajasekhara Reddy replaced Naidu as the chief minister, Raju befriended him too to bag projects. In July last year, Maytas Infra, a group company run by his son Teja Raju, bagged the 71.16-km, Rs 12,132-crore Hyderabad Metro Project, making an astonishing offer of royalty of Rs 30,311 crore spread across the contract period of 35 years. It had also refused a Viability Gap Funding of Rs 4,800 crore, or 40 per cent of the project cost, offered by the Government and instead opted for land in return—a decision that was dubbed as a political scandal by Delhi Metro chief E. Sreedharan. The Raju family's other outfit Maytas Properties is estimated

## FROM THE CONFESSIONS

**Ramalinga Raju** Chairman

**“None of the board members, past or present, had any knowledge of the situation in which the company is placed.”**

**I INFLATED** (non existent) cash and bank balances of Rs 5,040 crore (as against Rs 5,361 crore reflected in the books).

**AN** accrued interest of Rs 376 crore is non-existent

**I HAVE** understated liability to the tune of Rs 1,230 crore on account of funds arranged by me.

**I HAVE** over-stated debtors position of Rs 490 crore (as against Rs 2,651 crore reflected in the books).

**FOR** Sept 2008, we reported Rs 2,700 crore revenue and operating margin of Rs 649 crore against actual revenues of Rs 2,112 crore and margin of Rs 61 crore.

**Vadalamani Srinivas** CFO

**“I was asked specifically to not look into bank statements.”**

**AUDITORS** never pointed out any “deficiencies” during their discussions. Fixed deposits were unreal and fictitious which were managed with an understanding between the audit section and the management.

**BANK** deposits were handled directly by Raju, and the CFO was specifically asked “not to look into it”.

**“RAJU** and his brother used to take decisions and tell us to do as instructed.”

**THE** CFO admitted that the accounts were manipulated for about seven years.

**PRIOR** to quarterly board meetings, Ramakrishna, V-P, finance, would prepare the balance sheet. “I do not pay much attention to the details of that balance sheet.”